Unit 8

BANK RECONCILIATION STATEMENT

Contents

8.1. Introduction

8.2. Bank Reconciliation Statement

8.3. Reasons why bank column of cash book and bank statement may differ

8.4. Preparation of bank reconciliation statement

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Points to recall

The following points are to be recalled before learning bank reconciliation statement:

- When transactions are more in number, subsidiary books are used.
- Cash and bank transactions are recorded in the cash book.
- Deposit made into the bank is debited in the bank column of the cash book.
- Payment made by the bank is credited in the bank column of the cash book.
- Debit balance as per bank column of the cash book is favourable balance.
- Credit balance as per bank column of the cash book is overdraft.

Learning Objectives

To enable the students to

- Understand the meaning and purpose of preparing bank reconciliation statement
- Analyse the causes of disagreement between balance shown by bank column of the cash book and balance shown by bank statement
- Prepare bank reconciliation statement

Key terms to know

- Bank statement
- Bank overdraft
- Unpresented Cheques
- Uncleared Cheques
- Dishonoured cheques
- Standing instructions
- Bank reconciliation statement.

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